ESMB Methodological Manual on Labour Force and Unemployment Statistics

European Statistical Methods Board (ESMB) · Document ESMB-MAN-LFS · Version 2.1 · Published 2024-03-12

Edition 2.1. Prepared by the ESMB Working Group on Labour Market Statistics and endorsed by the Plenary on 12 March 2024. This edition replaces edition 2.0 of 2021.

1 Introduction

1.1 Purpose of the manual

This manual sets out the concepts, definitions and estimation practices that Member Statistical Authorities (MSAs) shall apply when they compile labour force statistics under ESMB standards. It follows the international definitions adopted by the International Conference of Labour Statisticians (ICLS) and is intended for producers and users of the statistics alike.

1.2 Sources

The primary source is the Labour Force Survey (LFS), a continuous household sample survey in which the reference weeks are spread uniformly over all weeks of the year. The LFS covers persons aged 15 to 89 living in private households. Administrative registers of the public employment services are a secondary source. They are used for monthly estimation and for small areas, but they measure a different concept, described in Section 4.

2 Concepts and definitions

2.1 Reference week and population

Labour status is determined with respect to a single reference week, from Monday to Sunday. Every person in the survey population is classified into exactly one of three mutually exclusive categories: employed, unemployed, or outside the labour force (economically inactive).

2.2 Employed persons

Employed persons are persons aged 15 to 89 who, during the reference week, performed work for at least one hour for pay or profit, including contributing family workers. Persons who had a job but were temporarily absent are also counted as employed, provided that the absence is due to holidays, illness, maternity or paternity leave, training required by the job, or another reason, and that the total duration of the absence is expected to be three months or less.

2.3 Unemployed persons

Unemployed persons are persons aged 15 to 74 who meet all three of the following criteria:

- they were without work during the reference week, that is, neither employed nor temporarily absent from a job;
- they were available to start work within the two weeks following the reference week;
- they had actively sought work at some time during the four weeks ending with the reference week, or had found a job to start within a period of at most three months.

Active steps include contacting a public employment service, applying to employers, placing or answering advertisements, taking a recruitment test or interview, and seeking resources to set up a business. Merely reading advertisements without responding does not count as active search.

2.4 Labour force and persons outside the labour force

The labour force (economically active population) is the sum of employed and unemployed persons. Persons outside the labour force are those who are neither employed nor unemployed, such as students not seeking work, retired persons and persons caring for family members.

2.5 Derived indicators

Indicator	Definition	Age group
Unemployment rate	Unemployed / labour force x 100	15-74
Youth unemployment rate	Unemployed / labour force x 100	15-24
Youth unemployment ratio	Unemployed / total population x 100	15-24
Long-term unemployment rate	Persons unemployed for 12 months or more / labour force x 100	15-74
Employment rate	Employed / total population x 100	20-64
Activity rate	Labour force / total population x 100	15-74

The denominators matter. The youth unemployment rate relates the young unemployed to the young labour force, which is small because many young people are in education. It is therefore always much higher than the youth unemployment ratio, which relates them to the whole population of the same age. The two indicators must not be confused.

2.6 Worked example

Suppose the population aged 15-74 is 12 000 thousand persons, of whom 8 000 thousand are employed and 420 thousand are unemployed. The labour force is 8 420 thousand and 3 580 thousand persons are outside the labour force. The unemployment rate is 420 / 8 420 x 100 = 4.99 %, published as 5.0 %. The activity rate is 8 420 / 12 000 x 100 = 70.2 %.

2.7 Labour market slack

Unemployment does not capture all unmet demand for work. MSAs shall also publish the following groups, which together with the unemployed form labour market slack: underemployed part-time workers (who want to work more hours and are available to do so); persons seeking work but not immediately available; and persons available to work but not seeking.

3 Monthly and regional estimates

3.1 Monthly unemployment

The quarterly LFS sample is too small for direct monthly estimates of good quality. Monthly unemployment rates shall be estimated either from three-month moving averages of LFS monthly sub-samples or with models that combine the LFS with registered unemployment as an auxiliary variable. Monthly estimates shall be published seasonally adjusted and in trend form where the seasonal pattern is identifiable. Monthly figures are revised when the quarterly results become available and when seasonal factors are re-estimated.

3.2 Seasonal adjustment

Seasonal adjustment shall follow the ESS guidelines on seasonal adjustment, using X-13ARIMA-SEATS or TRAMO-SEATS. The seasonally adjusted unemployment rate is calculated from seasonally adjusted levels of unemployed persons and of the labour force, not by adjusting the rate directly, so that the components remain consistent.

3.3 Regional estimates

LFS estimates are published at NUTS 2 level on a quarterly and annual basis. Estimates for NUTS 3 regions are published only annually and only where the coefficient of variation is below 15 %. Monthly unemployment figures for NUTS 3 regions, such as counties, are not produced from the LFS; where they exist they are derived from registers and follow the registered unemployment concept.

3.4 Sampling error and reliability flags

Every LFS estimate is subject to sampling error. Estimates based on fewer than the publication threshold of sample observations shall not be published; estimates between the publication threshold and the reliability threshold shall be published with the flag "u" (low reliability). Month-on-month changes of the order of 0.1 percentage points are generally within the margin of sampling error and should not be described as a change in the labour market.

4 Registered unemployment

4.1 Definition

Registered unemployed persons are persons registered as unemployed with the public employment service on the last day of the month according to national legislation. Registration is often linked to entitlement to benefits or to services.

4.2 Differences from unemployment according to ICLS definitions

Criterion	LFS unemployment	Registered unemployment
Source	Household survey	Administrative register
Work during reference week	None at all	Some paid work may be allowed by national rules
Active job search	Required, last four weeks	Not always verified
Availability	Within two weeks	According to national rules
Age limits	15-74	According to national legislation
Regional detail	NUTS 2, NUTS 3 annually	Down to municipality, monthly

Persons who look for work without registering are unemployed in the LFS but not in the register. Registered persons who do not search actively are counted in the register but are outside the labour force in the LFS. The registered unemployment rate is usually computed against a different denominator (registered unemployed plus civilian employment). Levels and rates from the two sources therefore differ and shall never be presented as the same indicator or combined in one series.

4.3 Use in commentary

Registered unemployment is a timely indicator of regional trends but it reacts to changes in legislation, such as changes in benefit eligibility. A fall in registered unemployment following a tightening of eligibility rules is not evidence of a fall in unemployment.

5 Dissemination

5.1 Rounding

Rates shall be published with one decimal place and levels in thousands of persons with one decimal place. Changes in rates shall be described in percentage points.

5.2 Breaks in series

Changes of questionnaire, survey design or legal framework can introduce breaks in series. Affected observations shall be flagged "b" and the size of the break shall be estimated and documented where

possible.